

CARLSTAR GROUP LLC f/k/a	:	
CARLISLE TRANSPORTATION PRODUCTS, INC., and	:	
CTP TRANSPORTATION PRODUCTS, LLC,	:	
	:	
Complainants,	:	
	:	
v.	:	Docket No. 17-08
	:	
	:	
UTi, UNITED STATES, INC.,	:	
UTi, UNITED STATES, LLC, and	:	
DSV AIR & SEA, INC.	:	
	:	
Respondents.	:	
	:	

UTi, United States, LLC and DSV Air & Sea, Inc. (“DSV”), successors in interest to UTi, United States, Inc., (“UTi”) (collectively, “Respondents”), by and through Respondents’ attorneys, respectfully submit this Reply (“Reply”). As permitted by Federal Maritime Commission (“Commission” or “FMC”) regulations set forth in 46 C.F.R. § 502.70(c), and in accordance with the Amended Order Enlarging Time to File Reply Memorandum and Order Directing Complainants to Supplement Brief Responding to Respondents’ Motion to Dismiss, issued on January 2, 2018, this Reply responds to Carlstar Group LLC f/k/a Carlisle Transportation Products, Inc. and CTP Transportation Products, LLC’s (collectively, “Carlstar” or “Complainants”) Opposition (“Response”) to Respondents’ Motion to Dismiss (“Motion”), filed on December 26, 2017, as well as Complainants’ Supplemental Brief (“Supplemental Brief”), filed on January 17, 2018.

This Reply does not provide a full restatement of all relevant facts, procedural history, and legal arguments involved with the Motion to Dismiss. To avoid redundancy, the Reply is instead intended to be read in conjunction with Respondents' Motion and Complainant's Response and Supplemental Brief.

INTRODUCTION

Respondents decline to address the facts laid out by Complainants in the Background section of their Response, as these facts simply reiterate what Complainants have stated previously in their Complaint. Instead, Respondents reiterate the argument that Complainants' Verified Complaint must be dismissed in its entirety and with prejudice. Most significantly, Complainants have failed to allege a violation of the Shipping Act of 1984, as amended (the "Shipping Act"), that the Commission has subject matter jurisdiction to address. Moreover, Complainants have failed to allege any plausible claims upon which the Commission may grant relief. Indeed, Complainants failed to set forth a legally sufficient or coherent basis for a Shipping Act claim against UTi. For these reasons, Respondents respectfully request that the Commission dismiss the Verified Complaint with prejudice.

ARGUMENT

The Verified Complaint must be dismissed in its entirety and with prejudice because Complainants have not alleged any plausible claims upon which the FMC can grant relief. These claims should be dismissed now, rather than allowing this matter to move forward to a costly and time-consuming proceeding before the Commission.

I. COMPLAINANTS' CLAIMS MUST BE DISMISSED FOR LACK OF SUBJECT MATTER JURISDICTION

Because Complainants do not allege violations of the Shipping Act and instead allege breach of contract claims to which a contractual arbitration clause applies, the FMC lacks jurisdiction to adjudicate the claims. As a result, the Commission must dismiss these claims.

A. Complainant's Allegation that UTi Violated § 41104(2) Does Not Provide the Commission with Subject Matter Jurisdiction Over the Verified Complaint

In their Response to the Motion, Complainants allege that the FMC has jurisdiction in this case because UTi violated 46 U.S.C. § 41104(2) by charging rates greater than those permitted in "Agreements," which Complainants contend should be considered a "service contract" under 46 U.S.C. § 41104(2)(A). Resp. at *3 and *4.¹ (Complainants presumably refer to the transportation service agreement (the "Agreement") between the Parties, *see* Compl., Ex. 2, App. A, which called for freight charges for shipments on behalf of Carlstar that were billed to Carlstar to mirror the charges between UTi and the underlying ocean common carrier for the shipment.). Complainants suggest that, as a result of this alleged violation, the Commission has subject matter jurisdiction over the claims in the Verified Complaint.

Complainants are mistaken in their assertion that the Agreement should be considered a "service contract" under 46 U.S.C. § 41104(2)(A). Their argument that this allegation therefore provides the Commission with subject matter jurisdiction over their claims is invalid. A "Service Contract," as described by 46 U.S.C. § 40502(a), is entered into between an ocean common carrier and one or more shippers. For purposes of the Shipping Act, an "ocean common

¹ Although Complainant's Verified Complaint alleged that UTi violated 46 U.S.C. § 41104(2) "by charging rates greater than the published tariff and/or the Agreements," *see* Compl. ¶ 37, in the Response Complainants make no mention of an overcharge based on published tariff rates. Respondents reiterate that the Verified Complaint does not provide facts supporting an allegation that UTi provided services not in accordance with the rates contained in an applicable tariff, as discussed in detail in Respondent's Motion to Dismiss, *see* Mot. at 6-9.

carrier” is defined as “a vessel-operating common carrier” (“VOCC”). 46 U.S.C. § 40102(17). Over the course of its existence, UTi operated exclusively as a non-vessel-operating common carrier (“NVOCC”).² As such, UTi did not enter into any service contracts. In fact, the Shipping Act does not permit an NVOCC to enter into service contracts with shippers, such as the Complainants. In spite of Complainants’ contention otherwise, the Agreement between the Parties was not a service contract. Consequently, Complainants’ assertion that UTi was required to file the Agreement with the Commission as a service contract in adherence with 46 U.S.C. § 40502(b)(1) is patently incorrect and misleading.

Respondents respectfully reiterate that the allegations set forth by Complainants are pure breach of contract claims and commercial claims for alleged failures to charge what was agreed upon per the Agreement between the Parties, alleged failures to substantiate charges with back-up documentation, and allegedly incorrect billing and improper calculation of a documentation fee. Even if factually accurate, these allegations would not implicate the Shipping Act, as amended, as the allegations involve a contract rather than an FMC-compliant ocean transportation services instrument. As set forth by Respondents in the Motion, the Commission’s jurisdiction is exclusively limited to claims involving alleged violations of the Shipping Act. *See Mot. at 7–9.*

Complainants argue that UTi made a “similar argument” in the *Streak Products* case, which was rejected by the Commission. This miscomprehends the nature of the argument in the *Streak Products* case and misstates the applicability of the Commission’s conclusion to the instant case. In *Streak Products*, the respondent argued that when an ocean common carrier fails to publish a tariff, a shipper is not entitled to receive a reparation award because there is no

² *See also* Supplemental Brief at *1–2.

apparent information to calculate overcharges and therefore no apparent measure of damages. This, simply, was the argument rejected by the Commission. *See Streak Products Inc. v. UTi, United States Inc.*, FMC No. 13-04, Order, pp. 7–8 (FMC Oct. 23, 2013). The Verified Complaint for the present case does not allege any details regarding a tariff. Further, Respondents did not argue in the Motion that there is no possible measure of damages. Instead, Respondents assert simply that damages (if any) are to be measured per the Agreement between Complainants and UTi, as the Complainants themselves stated in the Complaint. Compl. ¶¶ 9–11. The Agreement is a commercial contract between the Parties, and does not implicate 46 U.S.C. § 41104(2) or any other facet of the Shipping Act. Complainants therefore cannot use it as a basis to argue that the Commission has any subject matter jurisdiction in this case.

Because the Commission lacks jurisdiction to adjudicate this particular dispute, it must dismiss Complainant’s claims for lack of subject matter jurisdiction.

B. This Proceeding Should be Dismissed Rather Than Stayed, in Accordance with the Arbitration Clause in the Agreement

In their Response, Complainants concede that they are “not opposed to arbitration” as a means of pursuing or otherwise resolving their allegations against UTi. Nevertheless, Complainants argue that the Commission should require UTi to seek a stay before the Commission, pending the result of the arbitration, in order to provide the Commission with the “right” to enforce the recommendation of the arbitration or to resolve any issues that were not addressed in arbitration. *See Resp. at *4.* Complainants’ reasoning that an openness to arbitration supports a stay, rather than a dismissal, of this proceeding is faulty, at the very least. It presupposes that the Commission has subject matter jurisdiction over the Verified Complaint, which is incorrect. Certainly, the arbitration clause in the Agreement does not bestow the Commission with any jurisdiction over the Agreement.

In fact, the arbitration clause in the Agreement clearly states that “[a]ny controversy which shall arise between CTP and UTi regarding the rights, duties, or liabilities of either party hereunder . . . shall be settled by binding arbitration in New York, New York in accordance with the Arbitration Act and pursuant to the rules of the American Arbitration Association.” Compl. Ex. 1, page 7. The Agreement therefore contemplates that any and all controversies, not just some, arising out of the Agreement must be addressed and settled by binding arbitration. Complainants are attempting to take two bites at the very same apple by suggesting that they be allowed to first pursue arbitration and then an action before the Commission to “resolve any issues that were not addressed in the arbitration.” See Resp. at *4. Complainants cannot pursue the convenience, savings, and flexibility of arbitration, yet seek to preserve this proceeding in their back pocket as a means to bring the same or new claims at the Commission, should they be unsatisfied with the outcome of the arbitration. Indeed, it is fundamental to the arbitration process that parties to an arbitration, who consent to such, as both Complaints and Respondents did in signing the Agreement, “may not hedge it about with those procedural limitations which it is precisely its purpose to avoid. They must content themselves with looser approximations to the enforcement of their rights than those that the law accords them, when they resort to its machinery.” *American Almond Products Co. v. Consolidated Pecan Sales Co.*, 144 F.2d 448, 451 (2d Cir. 1944).

Complainants’ claims, therefore, must be resolved in full in binding arbitration, pursuant to the Agreement’s clear and agreed to arbitration clause. Accordingly, the Commission should dismiss this proceeding rather than issue a stay pending the results of the arbitration.

II. COMPLAINANTS' CLAIMS MUST BE DISMISSED FOR FAILURE TO STATE A CLAIM FOR ANY VIOLATION OF THE SHIPPING ACT

Complainants' claims must be dismissed for failure to state a claim for any violation of the Shipping Act, as amended. The lack of clarity in the Verified Complaint about the nature of Complainant's claims against UTi makes one thing crystal clear: this Complaint is simply a fishing expedition designed to elicit a settlement from Respondents. On one page of their Response to the Motion, Complainants seem to allege—in rapid succession and presumably in the alternative—that UTi overcharged them pursuant to the Agreement between the Parties, pursuant to a service contract, pursuant to a published tariff (“whether and when UTi even filed tariffs with the Commission”), or pursuant to “some alternative Commission-compliant rate vehicle.” Resp. at *5. Complainant's Response does little to shed light on the details of the alleged violations of the Shipping Act, as amended, raised in the Verified Complaint. This Complaint is precisely the sort of action the Supreme Court has described as inadequate in the *Twombly* and *Iqbal* line of case law. See *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009), citing *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 555 (2007) (“Threadbare recitals of the elements of a cause of action, supported by mere conclusory statements, do not suffice.”).

In either their Response or Supplemental Brief, Complainants make no attempt to respond to Respondents' arguments in the Motion that Complainants have failed to state a valid claim of violation of the Shipping Act, as amended, including 46 U.S.C. §§ 41102(c), 41104(2), and 41104(4). They have not established a basis for their claim under 46 U.S.C. § 41102(c) as they fail to allege with any level of factual detail that UTi has failed to “establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.”

Complainants have similarly not established a basis for their claim of a violation of 46 U.S.C. § 41104(2), which prohibits a common carrier, either alone or in conjunction with any other person, directly or indirectly, from providing service in a liner trade that is not in accordance with rates, charges, classifications, rules, and practices contained in a valid and published tariff. From the Complainants' Response, it seems apparent that they are entirely undecided regarding whether they have been overcharged pursuant to a tariff, pursuant to the Agreement between the Parties or pursuant to another FMC-compliant rate agreement. Complainants only seem certain they have been overcharged pursuant to their "Ocean Audit" analysis, but with no actual explanation as to how they determined what they "should" have been charged.

Lastly, similar to their unsubstantiated claim of a violation of 46 U.S.C. § 41104(2), Complainants fail to provide any factual basis to support the bald assertion that UTi violated 46 U.S.C. § 41104(4) by charging Carlstar "unfair and potentially discriminatory fees." Compl.

¶ 38. Complainants do not even allege any "detailed or informative" facts which if taken as true *may* constitute a violation of 46 U.S.C. § 41104(4). Complainants seem to allege that they were charged discriminatory fees as a method to allow them to go on a fact-finding expedition to cobble together a plausible claim of some kind.

Complainants allege, both in their Complaint, Compl. ¶ 24, and again in their Response, Resp. at *1, that the "Ocean Audit" revealed "significant discrepancies" between the amount UTi billed Carlstar and the amount UTi should have billed Carlstar pursuant to the Agreement between the Parties. UTi agrees with the Complainants' assertion that UTi was to have billed Carlstar pursuant to the Agreement between the parties which called for all freight charges to Carlstar to mirror the charges between UTi and the Ocean Carrier, *see* Compl., Ex. 1, App. A. However, we respectfully reiterate that the Agreement was not a FMC rate agreement and disputes arising from

any alleged breach of the Agreement fall outside the Commissions' jurisdiction and should be settled in arbitration.

Respondents emphasize that the controlling case in this matter is *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, 28 SRR 1635 (2000). In *Cargo One*, the FMC reviewed a complaint by an NVOCC alleging violations of the Shipping Act, relating to a service contract filed by a vessel-operating common carrier with the FMC. There, even in the case of a filed and valid FMC rate agreement—the service contract—the FMC established that purely breach of contract claims “would not be actionable before the Commission in any event.” *Id.* at 1645. Moreover, the Commission found that “[a]s a general matter, allegations essentially comprising contract law claims should be dismissed unless the party alleging the violations successfully rebuts the presumption that the claim is no more than a simple breach of contract claim.” *Id.* In the present matter, Complainants' assertion is that UTi did not provide documentation of accessorial (i.e. surcharges) charged to Carlstar pursuant to the Agreement between the parties. These allegations are clearly contract law claims and Complainant has made no showing, let alone successfully rebutted the presumption, that its claims are any more than simple breach of contract claims. It follows, therefore, that the Commission should conclude that Complainants' claims are not actionable before the FMC.

Furthermore, in *Proctor & Gamble Distributing Co. v. Maersk Line*, Informal Docket No. 1776(I), 1994 WL 410967 (F.M.C. July 21, 1994), which involved a dispute over the correct interpretation of a the provisions of a valid service contract, the FMC stated that it “is not a board of arbitration, equipped to resolve any dispute that is brought to its attention. Its scope of authority is determined by the governing statutes, and extraneous [contract] matters must be resolved in an alternative forum.” *Id.* at *2. In *Proctor & Gamble Distributing Co.* the FMC

held that the “failure to pay the amount due under the service contract constitutes the breach of contract. The source of the incorrect rate - tariff, service contract, or the mere whim of the carrier - is irrelevant.” *Id.* Likewise, in the present case, the Complainant is alleging that Carlstar was not charged the correct rate per the Agreement between the parties, which Respondent respectfully reiterates is a purely breach of contract claim that does not fall within the FMC’s jurisdiction.

Consequently, the Commission must dismiss all claims in Complainants’ Verified Complaint for failure to state a claim.

III. IN THE ALTERNATIVE, COMPLAINANTS’ CLAIMS SHOULD BE DISMISSED TO THE EXTENT THEY SEEK REPARATIONS FOR VIOLATIONS ACCRUING BEYOND THE APPLICABLE THREE-YEAR STATUTE OF LIMITATIONS

Respondents acknowledge that the period of the tolling agreements between the Parties should not be considered by the Commission when determining which claims should be barred by the statute of limitations. The first tolling agreement between the Parties, executed by counsel for Carlstar on January 13, 2017 and by counsel for UTi on January 19, 2017, did not act to extend any claims which had already become time-barred as of December 20, 2016. As agreed, any claims that had not become time-barred as of this date should not be considered time-barred for the purposes of this proceeding. Nevertheless, pursuant to 46 U.S.C. § 41301(a) Complainants’ claims should be considered time-barred and must be dismissed to the extent (if at all) they seeks reparations for alleged violations of the Shipping Act, as amended, that accrued prior to December 20, 2013.

In their Response, Complainants do not make any other arguments against the applicability of the statute of limitations. Instead they simply cite to the *Streak Products* case, where there was a factual dispute as to whether the Complainant knew or could have known

pursuant to the “discovery rule” that it had a case against Respondents. *See Maher Terminals, LLC v. Port Authority of New York and New Jersey*, Docket No. 08-03, 2011 WL 7144003, at *11 (F.M.C. May 16, 2011) (internal quotation omitted).

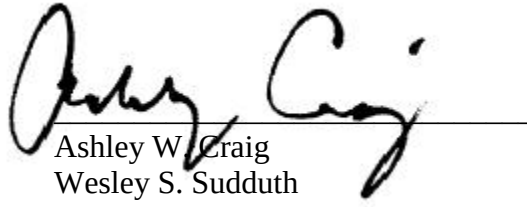
In this case Complainants have not provided any clarity regarding whether they are alleging that they should have been charged pursuant to the Agreement, a tariff, or some other FMC rate vehicle. As noted in the Motion, Complainants have not even specified the date on which they learned of the alleged violations. There is no factual dispute on this issue because Complainants have alleged little to no relevant facts. This lack of particularity should not be permitted to work in Complainants’ favor when determining whether there is indeed any factual dispute as to when Carlstar could have discovered they had a valid claim or claims against UTi. Among other things, such an outcome would set a perverse precedent that the statute of limitations would not apply as long as a Complainant were sufficiently vague in its Complaint and stated no facts whatsoever demonstrating when it could have discovered the basis for a claim or claims. Consequently, we respectfully request that in the absence of any additional information from the Complainants, any claims that accrued prior to December 20, 2013 should be barred and dismissed to the extent (if at all) they seeks reparations for alleged violations of the Shipping Act, as amended.

IV. CONCLUSION

For the reasons set forth above, Respondents respectfully request that the Commission dismiss all claims in the Verified Complaint in its entirety and with prejudice.

Dated: January 24, 2018

Respectfully submitted,



Ashley W. Craig
Wesley S. Sudduth
Neha Dhindsa

VENABLE LLP
600 Massachusetts Avenue, NW,
Washington, DC 20001
Tel: (202) 344-4351
Fax: (202) 344-8300
awcraig@venable.com
Counsel for Respondents

CERTIFICATE OF SERVICE

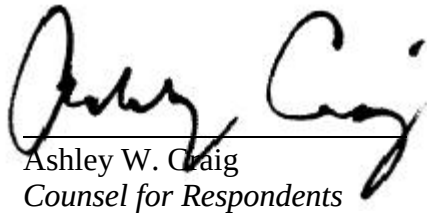
I hereby certify that I have this day served the foregoing documents upon all parties noted below by mailing via electronic mail a copy to each such person:

Derek H. Swanson
John D. Padgett
Elizabeth A. Hutson

McGuire Woods LLP
901 East Cary Street
Richmond, VA 23219
dswanson@mcguirewoods.com
jpadgett@mcguirewoods.com
ehutson@mcguirewoods.com

Counsel for Complainants

Dated at Washington, D.C. this 24th day of January 2018.


Ashley W. Craig
Counsel for Respondents